IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH

CP (CAA) No.10/ALD/2021
connected with
CA (CAA) No.11/ALD/2021
(Under Section 230-232 of the Companies Act, 2013)

In the matter of
The Companies Act, 2013
And
In the matter of
Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016

And

In the matter of
Elcomponics Technologies India Private Limited
…..Petitioner Company No. 1/ "Demerged Company"

And

Elcomponics Sales Private Limited
…..Petitioner Company No. 2/ "Resulting Company"

And

their respective Shareholders and Creditors

Order Reserved On: 21.12.2021
Order Pronounced On: 24.01.2022

Coram:
Shri Rajasekhar V. K. **:** ***Member (Judicial)***
Shri Virendra Kumar Gupta **:** ***Member (Technical)***

Counsel on Record for the Petitioner(s):
Sri Rahul Agarwal, Advocate

Order
Per: Virendra Kumar Gupta, Member (Technical)

1. The petitioners filed the joint petition under Section 230-232 and other applicable provisions of the Companies Act, 2013 ("**Act**") read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 praying for the sanctioning of the Scheme of Arrangement between Elcomponics Technologies India Private Limited (Petitioner Company No. 1/ "Demerged

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Company" and Elcomponics Sales Private Limited (Petitioner Company No. 2/ "Resulting Company") and their respective shareholders and creditors ("Scheme") under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

2. It may be noted here that the Demerged Company and the Resulting Company belong to the same group of companies. The Scheme of Arrangement has been proposed on account of the following advantages and benefits:

   a) The proposed scheme will result in segregation of and transfer of Elcomponics Technologies India Private Limited's solar and related business ("Demerged Undertaking") and consolidate it with Elcomponics Sales Private Limited. Therefore, the demerger would facilitate both the companies for future expansion with proper financial arrangement, better management and increase in profitability.

   b) Offer enhanced strategic flexibility, focus and opportunities to the respective managements of the Demerged Company and Resulting Company thereby facilitating the separate managements to vigorously pursue growth and expansion opportunities.

   c) The nature of risk, challenges and opportunities of the Solar and related Business is separate and distinct from other business of Elcomponics Technologies India Private Limited. Thus, the Scheme, which envisages demerger of Solar and related Business into a separate company, would unlock the value of this business to maximize the shareholder's wealth;

   d) The demerger will allow the shareholders of the Demerged Company to expand their business interests in the Demerged Undertaking by consolidating the same with the Resulting Company. The said consolidation will widen the markets and expertise.

   e) The demerger will allow the management of the Demerged Company to enhance its focus on monitoring the operations of its remaining business including increased customer focus and focus on industrial initiatives;

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f) Enable segregation of business with different strategies, profiles, technical and managerial focus. Solar & related business is not very high in technology as compared to the remaining business therefore both businesses requires different level of technical and managerial focus;

g) The demerger of Solar & related business in ESPL is expected to result in better chances of securing bids due to financial strength of ESPL as the financial standing of the bidder is also given sizable weight. Consequently, the business volume shall grow.

h) Solar business shall be able to raise large amount of working capital finances at very competitive terms which in turn shall help in expansion of business;

i) The demerger will enable the investors/ shareholders to separately hold investments which best suit their investment strategies and risk profiles; and

j) The demerger shall result in operational rationalization, organization efficiency and optimum utilization of various resources.

3. Previously, the Petitioner Companies had filed CA (CAA) No. 11/ALD/2021 seeking to dispense the requirement of convening the separate meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Companies. This Tribunal, *vide* its order dated July 9, 2021, allowed the prayer for dispensation of the meetings made in C.A. No. 11/ALD/2021 and issued directions for service of notice to the statutory authorities.

4. On July 16, 2021, the Petitioner Companies filed the Second Motion Petition being CP (CAA) No.10/ALD/2021. This Tribunal vide its order dated July 27, 2021, directed the Petitioner Companies to serve notice upon the Regional Director (Northern Region), Registrar of Companies, Kanpur, Official Liquidator, Allahabad and the respective Income Tax Authorities for the Petitioner Companies; and also directed to effect newspaper publication in "Business Standard" in English and Dainik Jagran in "Hindi" where the registered offices of the Petitioner Companies are situated. The Petitioner

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Companies complied with the directions and filed affidavit of service on August 24, 2021.

5. In response to such notice, the Regional Director (Northern Region) submitted its report by way of affidavit. The Official Liquidator, Allahabad has filed its report without any objection to the Scheme of Arrangement. The report of the Registrar of Companies, Kanpur forms part of the report submitted by the Regional Director (Northern Region). The Income Tax Department has filed its representation affidavit. Shri Gaurav Mahajan, Advocate, has also appeared on behalf of the Income Tax Department and conveyed their no-objection to the Scheme.

6. The Regional Director in paragraph 10 of his report has made comments pertaining to amendments required in the Scheme on account of there being no specific accounting standard for demergers. The Regional Director suggests that the Scheme be amended to include the financial statement pertaining to the assets and liabilities of the Demerged Undertaking of the Demerged Company to be transferred to the Resulting Company. The paragraph further contains comments pertaining to the specific bank account indicated by the Demerged Company in relation to the transactions of the Demerged Undertaking to the operated by the Resulting Company in the name of the Demerged Company and suggests deletion of clause 6.21 of the Scheme.

7. The Petitioner Companies have filed a reply affidavit to the report of the Regional Director (Northern Region). Relying upon the reply affidavit, Ld. counsel for the Petitioner Companies submitted that the value of the assets and liabilities as stated in the financial statement (Annexure-D to the report of the Regional Director) remains binding on the Petitioner Companies. He submits that it is not necessary that the Scheme be amended to include the financial statements of the assets and liabilities of the Demerged Undertaking that is to be transferred to the Resulting Company merely because of absence of specific

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accounting standard for demergers. The Ld. counsel further submitted that the specific bank account of the Demerged Company was to be operated by the Resulting Company only to ensure continuity in its business operations. Clause 6.21 may not be deleted as it obliges the Demerged Company to allocate a specific bank account to carry out transactions in relation to the Demerged Undertaking, and the same cannot use any or all of its bank account for carrying out operation of the Demerged Undertaking subsequent to the Effective Date of the Scheme.

8. Upon hearing the submissions of Ld. counsel for the Petitioner Companies with respect to the report of the Regional Director (Northern Region), this Tribunal finds merit in the submission of Ld. counsel that the Petitioner Companies are bound by their respective financial statements placed on record, and as such, the assets and liabilities of the Demerged Undertaking are accounted for. Even otherwise, accepting the submission of the Regional Director (Northern Region) would mean that in every case of demerger, only because of absence of Accounting Standards, the Scheme would require to be amended to specifically include the financial statements indicating the value of assets and liabilities in respect of the demerged undertaking proposed to be transferred to the resulting company.

9. On the deletion of Clause 6.21 of the Scheme as suggested by the Regional Director (Northern Region), it is appropriate to first reproduce the clause:

> *6.21 For avoidance of doubt and without prejudice to the generality of the applicable provisions of the Scheme, it is clarified that with effect from the Effective Date, out of the existing accounts of ETIPL, a specific bank account shall be allocated for the purpose of carrying out transactions in relation or in connection with the Demerged Undertaking in so far as may be necessary. Such bank account shall be operated by the resulting company in the name of ETIPL till such time resulting company opens/allocates a bank account specifically for the transactions of the demerged undertaking.*

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10. A reading of clause 6.21 indicates that it is a transitional provision, meant to mitigate operational difficulties arising on account of the Scheme being given effect to. It obliges both the companies to carry out transactions pertaining to the demerged undertaking from a specified bank account. Deletion of this clause would mean that this obligation is also removed, and it can be open to the Demerged Company to use any bank account for the operations of the demerged undertaking. The objection of the Regional Director (Northern Region) is not to the usage of a specific bank account, but its operation by the Resulting Company. This can be dealt with by providing that the specified bank account earmarked for the transactions of the Demerged Undertaking would continue to be operated by the Demerged Company, as a trustee for the Resulting Company. Subject to this direction, this Tribunal is of the view that clause 6.21 of the Scheme, being of limited operation and meant to ease operations during the transitional period, need not be deleted.

11. In view of the abovementioned reasons, this Tribunal finds that the proposed Scheme of Arrangement annexed as Annexure-1 to the Company Petition is to be sanctioned. The present Petition deserves to be allowed in terms of its prayer clause. In the result, the Scheme of Arrangement annexed as Annexure-1 to the Company Petition is duly approved and sanctioned. The Demerged Company and the Resulting Company are required to act upon as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders, and Creditors of the Demerged Company and the Resulting Company with effect from the Appointed Date i.e. 1st day of April, 2020.

12. Upon the Scheme becoming effective, all assets, claims, and liabilities of the Demerged Company pertaining to the Demerged Undertaking, legal or otherwise, shall be transferred to and continued in respect of the Resulting Company.

13. Upon the Scheme becoming effective, all employees whether permanent or temporary engaged exclusively in relation to the Demerged Undertaking that

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were employed by the Demerged Company shall become employees of the Resulting Company without any break or interruption of service and with the benefit of continuity of service on terms and conditions not less favorable than those previously applicable.

14. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission /compliance with any other requirement which may be specifically required under any law.

15. Leave granted to the Petitioner Companies to file the Schedule of Assets. The Petitioner Companies are further directed to cause a certified copy of this order to be delivered within 30 days from the date of its receipt to the Registrar of Companies for registration in terms of Section 230-232 of the Companies Act, 2013.

16. The Petitioners shall supply legible print out of the scheme and Schedule of Assets in acceptable form to the Registry and the Registry will append such printout, after verification, to the certified copy of the order.

17. Company Petition (CAA) No. 10/ALD/2021 is disposed of accordingly.

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Rajasekhar V K

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Virendra Kumar Gupta
Member (Technical)

Rajasekhar V.K.
Member (Judicial)

Swati Gupta(LRA)